

The Chip Handoff

S&P +0.36% as mega-cap tech and defensives absorb a semiconductor pullback. An SK Hynix HBM report resets the AI-hardware trade. Dividend +0.17%, Growth -0.34%.

THE SESSION

The broad tape held green while its leadership quietly changed hands. The S&P 500 closed +0.36% and the Nasdaq +0.60% as mega-cap technology and defensive sectors carried the index, but the day's real story was a rotation out of semiconductors. Apple, Alphabet, Amazon and Microsoft each advanced roughly 3-4%, absorbing capital that flowed out of the chip complex.

A second soft inflation print did the macro work: June producer prices fell 0.3% against expectations for no change, reinforcing Tuesday's cooler CPI. New York Fed President John Williams pointed to encouraging progress on inflation, and the VIX eased to 15.69. ASML raised its 2026 revenue guidance for the second time this year, which briefly lifted equipment names before the sector reversed. Reports that SK Hynix is scaling back HBM4 output — tied to softer demand for Nvidia's next-generation Rubin chips — combined with fresh China-competition concerns to trigger broad profit-taking across chips that had run hundreds of percent this year. Warren Buffett, separately, offered a pointed reminder about speculative excess.

The rotation cut cleanly along our two sleeve lines. The Dividend Strategy — anchored in financials, staples and healthcare and largely insulated from AI hardware — gained +0.17%, edging DVY (+0.08%) while trailing a broad-tape SPY (+0.38%). The Growth Portfolio's semiconductor concentration bore the pullback, closing -0.34% against IUSG's +0.55%. Worth noting: the mega-cap chip anchors were largely spared — NVDA held +0.33% and TSM slipped just -0.22% — while the higher-beta names took the profit-taking.

FCI Tactical: Concentrated leadership cuts both ways, and today it cut against us. We own businesses, not the tape. A single-session handback in positions up triple digits year-to-date is the market catching its breath — not a thesis breaking.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

YMM +6.48% GROWTH PORTFOLIO

Full Truck Alliance led the tape as the China cohort caught a bid alongside ATAT (+4.61%).

HUT +4.78% GROWTH PORTFOLIO

Hut 8 paced the bitcoin miners as digital assets extended; ETHA rose +2.40%, IBIT +0.63%.

NWG +4.00% DIVIDEND STRATEGY

NatWest rode the financials bid as Morgan Stanley's record equity-trading quarter capped a strong Q2 bank-earnings run.

SSNC +2.69% DIVIDEND STRATEGY

SS&C Technologies gained on the capital-markets read-through from the bank prints.

CHD +1.74% DIVIDEND STRATEGY

Church & Dwight drew a defensive staples bid as capital rotated away from growth.

SYK +1.73% DIVIDEND STRATEGY

Stryker rebounded, recovering ground after Tuesday's medical-device pullback.

SPGI +1.28% DIVIDEND STRATEGY

S&P Global firmed with the capital-markets complex ahead of its own late-July print.

DECLINERS

MRVL -7.27% GROWTH PORTFOLIO

Marvell led the chip pullback on the SK Hynix HBM4 report; the name remains up triple digits year-to-date.

CRDO -4.00% GROWTH PORTFOLIO

Credo gave back with the AI-optical and connectivity cohort.

SOFI -3.67% GROWTH PORTFOLIO

SoFi eased as fintech consolidated after its recent run.

AMD -3.46% GROWTH PORTFOLIO

AMD tracked the sector-wide semiconductor profit-taking.

LRCX -3.08% DIVIDEND STRATEGY

Lam Research, the sleeve's lone chip-equipment name, followed the SOX lower despite ASML's guidance raise.

ORI -2.61% DIVIDEND STRATEGY

Old Republic eased in an otherwise firm financials tape.

NXPI -1.71% GROWTH PORTFOLIO

NXP Semiconductors gave back on the broad de-risking of the chip complex.

HOLDINGS NEWS

Keysight (Growth Portfolio) was selected with Sateliot by the European Space Agency to develop a blockchain-enabled framework for 5G non-terrestrial networks — a strategic footprint

in space-based connectivity. Shares eased -0.93% with the broader test-and-measurement and chip names.

General Dynamics (Dividend Strategy) named a new general counsel as its Marine Systems unit continues to post strong results; the stock closed -1.05% in a soft session for defense.

Fortinet (Growth Portfolio) drew an analyst upgrade to Strong Buy, though shares finished -1.39% amid the growth-sleeve rotation.

PORTFOLIO PERFORMANCE

